

Annual Leave and Absence Policy

Northwind Systems GmbH

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1. Purpose

This policy sets out the paid leave entitlement of employees at Northwind Systems, how leave is accrued and requested, what happens to entitlement that is not taken, and the other categories of absence the company recognises.

It applies to all employees of every Northwind entity. Where local statutory law provides a more generous entitlement than this policy, the statutory entitlement applies.

2. Annual Leave Entitlement

The standard entitlement is twenty-five paid vacation days per calendar year for a full-time employee.

Entitlement accrues monthly, at 1/12 of the annual figure for each complete month of service, and is credited on the last day of the month. An employee may take leave that has been accrued but not yet credited, with line manager agreement, up to a maximum of five days in advance.

Part-time employees receive the entitlement pro rata to their contracted hours, rounded up to the nearest half day.

Employees joining or leaving part way through a year receive the entitlement pro rata to the complete months worked in that year.

Public holidays

Public holidays are additional to the twenty-five days and are those gazetted at the site to which the employee is assigned. Employees working from another location observe the holidays of their assigned site, not of the location they happen to be in.

Long service

Entitlement increases with continuous service:

- After five complete years: 27 days
- After ten complete years: 29 days
- After fifteen complete years: 30 days

The increase takes effect from 1 January of the year in which the anniversary falls.

3. Requesting Leave

Leave is requested in the absence portal and requires line manager approval before any commitment is made to a travel booking.

Notice expected:

- One to two days: at least five working days' notice.
- Three to ten days: at least three weeks' notice.
- More than ten consecutive days: at least six weeks' notice.

A manager may decline a request where the absence would leave the team unable to meet a committed delivery, but must give the reason and, where possible, propose alternative dates. Requests are not declined on the grounds that the entitlement is inconvenient to plan around.

At least one absence of ten consecutive days should be taken in each calendar year. This is a health and continuity measure rather than an administrative rule, and managers are asked to make it possible.

4. Carry-Over of Untaken Entitlement

Entitlement not taken by 31 December does not lapse in full, but the amount that survives into the following year is capped.

A maximum of five untaken days may be carried into the next calendar year.

Days carried over must be used by 31 March of that following year. Any carried-over day still untaken after 31 March lapses without compensation.

Anything above the five-day cap lapses at 31 December, with two exceptions:

- Where the employee was prevented from taking leave by long-term sickness, the untaken entitlement is carried in full and is subject to the statutory limitation period rather than to 31 March.
- Where the employee was prevented from taking leave by an explicit written instruction from their manager, the department head may approve carry-over above the cap on written request before 15 December.

Entitlement is not paid out in cash in place of being taken, other than on termination of employment.

5. Leave on Termination

On leaving, accrued and untaken entitlement for the current year is paid out with the final salary. Entitlement taken in excess of what has accrued is deducted from the final payment.

6. Sickness Absence

Notify your line manager as early as possible on the first day of absence, and in any event before the start of your working day. Notification is by any direct means; a message in a team channel is not sufficient.

A medical certificate is required from the fourth consecutive calendar day of absence, and is submitted to People Operations rather than to the line manager.

Sickness occurring during approved annual leave, and certified by a medical practitioner, is recorded as sickness and the affected leave days are returned to the entitlement.

7. Other Categories of Absence

Parental leave

Governed by statute in the employee's country of employment. People Operations advises on entitlement, notice and pay in each case. Notify People Operations as early as practicable so that cover can be planned.

Compassionate leave

Up to five paid days on the death of a partner, child or parent, and up to two paid days on the death of another close relative. Extension is at the department head's discretion and is granted readily.

Marriage and relocation

One paid day for the employee's own marriage or registered partnership, and one paid day for a house move, limited to one such day per calendar year.

Public duty

Paid leave is granted for jury service and for statutory public duties. Any fee or allowance received for the duty is offset against salary for the period.

Unpaid leave

A period of unpaid leave may be requested for a personal reason that annual leave cannot accommodate. It requires line manager support and department head approval, and the request should set out the intended duration and the arrangements for cover.

8. Records

Entitlement, accrual, requests and balances are held in the absence portal and are visible to the employee, their line manager and People Operations. Balances are recalculated overnight; a request approved today is reflected in the balance tomorrow.

9. Related Documents

- Flexible and distributed working policy
- New joiner orientation guide
- Employee benefits overview
- Performance review process